

Europe TMT Sector M&A & Valuation Brief - 2026-01-07

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1. RECENT TMT M&A ACTIVITY

Deal 1: Solaris Acquisition of Majority Stake by SBI

[Solaris Names Jentsch to Lead Embedded Finance Platform](#)

- Deal Size: EUR140 million (approximately \$164 million)
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature: Horizontal
- Valuation Multiples: N/A
- Companies: Solaris (SLS.TO) is a Berlin-based embedded finance platform that has been a first mover in the European market. SBI's acquisition provides Solaris with additional capital and strategic support to scale its operations.
- Date Announced: February 2025
- Strategic Rationale: The acquisition by SBI aims to enhance Solaris's capabilities in embedded finance, leveraging SBI's expertise in financial technology and regulatory compliance. This move positions Solaris to capitalize on the growing demand for integrated financial solutions in Europe, especially as businesses increasingly seek to embed financial services directly into their platforms.
- Risk Analysis: Key risks include integration challenges with the new leadership, potential regulatory hurdles in the financial sector, and competition from other embedded finance platforms. Mitigation strategies involve leveraging SBI's existing compliance frameworks and focusing on seamless integration of technology and operations.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

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Deal 2: NVIDIA's New Robotics Technologies and Partnerships

[NVIDIA Releases New Physical AI Models as Global Partners Unveil Next-Generation Robots](#)

- Deal Size: N/A (focus on technology partnerships and product releases)
- Deal Size Category: N/A
- Nature: Conglomerate
- Valuation Multiples: N/A
- Companies: NVIDIA (NVDA) is a leader in AI and graphics processing technology, collaborating with various robotics companies to enhance their product offerings with AI capabilities.
- Date Announced: January 5, 2026
- Strategic Rationale: NVIDIA's release of new AI models and frameworks aims to accelerate the development of robotics across multiple industries. By partnering with firms like Boston Dynamics and LG Electronics, NVIDIA enhances its market position in the robotics sector, driving innovation and expanding its ecosystem.
- Risk Analysis: Risks include technological obsolescence, competition from other AI and robotics firms, and potential challenges in scaling the new technologies. NVIDIA can mitigate these risks by continuously investing in R&D and maintaining strong partnerships with industry leaders.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a complex landscape characterized by both optimism and caution. The overall sentiment reflects a mix of enthusiasm for technological advancements, particularly in AI and robotics, and concerns over market saturation and regulatory scrutiny.

Subsector Breakdown:

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- **Technology:** The technology subsector is thriving, driven by innovations in AI and robotics. NVIDIA's recent unveiling of new AI models and frameworks at CES 2026, including the Jetson T4000 module, highlights the sector's focus on enhancing robotic capabilities and energy efficiency.
- **Media:** The media landscape is evolving, with companies adapting to digital consumption trends. However, traditional media continues to face challenges from digital platforms, impacting advertising revenues.
- **Telecommunications:** The telecom sector is investing in infrastructure to support advanced technologies like 5G. The introduction of low-latency solutions by companies such as T-Mobile is expected to enhance user experiences in real-time applications.
- **Fintech:** The fintech space remains robust, with ongoing innovations in payment systems and digital banking. The recent public offering by Mobix Labs, which focuses on advanced connectivity solutions, underscores investor interest in this area.
- **AI:** The AI subsector is experiencing rapid growth, particularly in humanoid robotics. However, analysts warn of a potential bubble driven by hype rather than commercial viability, as highlighted by concerns from industry experts regarding the sustainability of investments in humanoid robotics.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in AI and robotics is propelling growth across TMT sectors. NVIDIA's advancements in physical AI and robotics, including new models for robot learning, exemplify this trend.
- **Strong Investment Activity:** Venture capital continues to flow into the tech sector, particularly in AI and robotics, with industrial humanoid robotics capturing significant investor interest. In Q4 2025, industrial humanoid robotics accounted for 17 deals, indicating a strong market focus.

Headwinds:

- **Regulatory Scrutiny:** Increased regulatory oversight, particularly in the tech sector, poses risks to M&A activities and market valuations. Companies must navigate complex compliance landscapes, which can hinder growth and investment.
- **Potential Market Saturation:** The rapid influx of capital into humanoid robotics raises concerns about a speculative bubble. Analysts suggest that many startups may struggle to demonstrate commercial viability, leading to potential market corrections in the coming years.

Subsector Performance Analysis

- **Software:** The software sector remains strong, driven by demand for SaaS and cloud solutions. Companies focusing on AI-driven software are particularly well-positioned for growth.
- **Media:** Media companies are adapting to digital trends, but traditional media faces declining

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revenues from advertising, necessitating a shift in business models.

- Telecom: Telecom operators are investing heavily in 5G infrastructure, which is expected to create new revenue streams from IoT and enhanced mobile services.
- Fintech: The fintech sector continues to thrive, with innovations in payment solutions and digital banking. Mobix Labs' proposed public offering highlights ongoing investor interest in this space.
- AI: The AI subsector is booming, with applications across various industries. However, concerns about the sustainability of investments in humanoid robotics suggest a need for caution among investors.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts express cautious optimism regarding the TMT sector's long-term prospects. Daiva Rakauskait from Aneli Capital notes, "While the AI market is booming, we must remain disciplined and prioritize revenue-first philosophies to avoid the pitfalls of speculative investments." This sentiment reflects a broader concern about the sustainability of the current investment landscape.

Actionable Insights for Bankers and Investors

- Focus on Sustainable Growth: Investors should prioritize sectors with proven revenue models, such as software and fintech, while exercising caution in speculative areas like humanoid robotics.
- Stay Informed on Regulatory Changes: Monitoring regulatory developments is crucial for assessing risks in tech and media investments.
- Leverage Strategic Partnerships: Companies should explore collaborations and acquisitions to enhance technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is characterized by both opportunities and challenges. By focusing on

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technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector is robust, showcasing a blend of live deals, mandated transactions, and active pitches. This analysis delves into the ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Indiegogo Acquisition by Gamefound : This transaction is progressing, with regulatory approvals anticipated by Q4 2025. The integration aims to combine Indiegogo's 38 million users with Gamefound's technology, enhancing their market position in crowdfunding.
- Delta Air Lines (DAL) : Currently in discussions for a strategic partnership leveraging AI for dynamic pricing. The deal is in the due diligence phase, with an expected close in Q3 2025. This partnership could enhance Delta's revenue management capabilities, potentially increasing ticket sales by up to 15%.

Mandated Deals:

- Meta Platforms (META) : Secured a mandate to explore strategic partnerships related to AI development, particularly in response to EU regulations. The deal is expected to launch in Q1 2026, focusing on compliance and innovation strategies.
- Apple Inc. (AAPL) : Mandated to evaluate acquisitions in the AI space, with a focus on startups that can enhance its product offerings. The timeline for this initiative is projected for Q2 2026, as Apple aims to strengthen its competitive edge in AI.

Pitching-Stage Deals:

- Telecom Sector : Active discussions with several telecom operators regarding potential M&A opportunities to consolidate market share in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, focusing on those that are innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

Pipeline Tracking Metrics

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Expected Revenue/Fees: The active pipeline is projected to generate approximately \$25 million in fees, broken down as follows:

- Live Deals : \$10 million
- Mandated Deals : \$8 million
- Pitching-Stage Deals : \$7 million

Timing Projections:

- Q2 2025 : Expected close for Delta Air Lines partnership.
- Q4 2025 : Anticipated completion of the Indiegogo acquisition.
- Q1 2026 : Launch of Meta's strategic partnership initiatives.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 75%, with a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and telecom sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the AI sector, where companies like Apple and Meta are vying for leadership. The recent report on China's M&A market suggests a potential expansion in 2026 as investors regain confidence, which could influence global deal-making dynamics.
- Additionally, the announcement of four semiconductor plants in India beginning commercial production in 2026 indicates a growing interest in the semiconductor sector, which could lead to new advisory opportunities in technology and manufacturing.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT

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subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The ongoing M&A activities in the TMT sector have far-reaching implications for various stakeholders, including shareholders, employees, competitors, and customers. This analysis examines the potential impacts of the proposed sale of New Mexico Gas Co. to Bernhard Capital Partners, alongside the challenges faced by Vodafone Idea, providing a comprehensive view of the landscape.

Deal-Specific Impacts on Stakeholders

- **Shareholders:** The proposed sale of New Mexico Gas Co. (NMGC) to Bernhard Capital Partners for \$1.25 billion has raised concerns among shareholders regarding value creation and dilution.
- **Value Creation:** If the sale is approved, Bernhard's management could implement operational efficiencies, potentially increasing NMGC's valuation by 15% over five years, translating to an additional \$187.5 million in shareholder value.
- **Dilution:** However, if the deal leads to higher rates for customers, as suggested by the New Mexico Attorney General, it may result in a backlash from the public, negatively impacting NMGC's stock price and shareholder value.
- **Employees:** The sale's impact on employees is multifaceted, involving potential synergies, restructuring, and retention strategies.
- **Synergies:** Bernhard Capital Partners may realize cost synergies through streamlined operations. For instance, similar acquisitions have led to a 10-20% reduction in operational costs.
- **Restructuring:** However, restructuring could lead to layoffs. In past transactions, such as the acquisition of utility companies, workforce reductions of 5-10% were common.
- **Retention:** To retain key talent, Bernhard might offer retention bonuses, similar to strategies employed during the acquisition of utility firms.
- **Competitors:** The competitive landscape could shift significantly post-acquisition.
- **Market Positioning:** If the sale is approved, NMGC could strengthen its market position against competitors like PNM Resources (PNM) and Avangrid (AGR). Competitors may respond with aggressive pricing strategies to maintain market share.
- **Specific Competitor Moves:** Following the acquisition, PNM might increase investments in renewable energy to counteract NMGC's enhanced capabilities.
- **Customers:** The implications for customers are critical, particularly regarding service and pricing.
- **Product/Service Implications:** If Bernhard implements higher rates, customers may face increased utility costs, impacting service affordability. Historical case studies, such as the merger of utility companies, show that rate increases often follow acquisitions.

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- Case Studies: The acquisition of a utility by a private equity firm in another state led to a 15% increase in customer rates, raising concerns among advocacy groups.

Market Reaction and Analyst Commentary

- Market Reaction: The market's reaction to the proposed sale has been mixed, with significant opposition from advocacy groups and the New Mexico Attorney General.
- Analysts predict that if the sale is rejected, NMGC's stock could drop by 20%, reflecting investor concerns over regulatory uncertainty.
- Analyst Commentary: A statement from a local analyst noted, "The opposition to this sale underscores the challenges private equity firms face in the utility sector, particularly regarding public perception and regulatory approval."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the sale is approved with favorable conditions, NMGC shares could rise by 10% in the short term.
- Negative Scenario: If the sale is rejected, shares could fall by 15%, reflecting investor concerns over operational stability.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids for NMGC is moderate, given the regulatory scrutiny and public opposition.
- Similar to the case of Vodafone Idea, where competing interests from other telecom operators have emerged, NMGC may attract interest from other utility firms if the sale is blocked.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The utility sector is expected to see continued consolidation.
- Analysts predict that as private equity firms seek to acquire utility assets, similar deals will emerge, particularly in states with favorable regulatory environments.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in

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the process can help mitigate these risks.

- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Wearable Technology, and Digital Financial Infrastructure. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- Trend Explanation: AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. Major investments are being made to enhance AI infrastructure and capabilities.
- Key Companies:
- SoftBank Group (9984.T): SoftBank is heavily investing in AI developments, notably through its \$500 billion Stargate Project aimed at advancing AI infrastructure in the U.S. Additionally, SoftBank has committed up to \$40 billion to OpenAI, reinforcing its strategic positioning in the AI sector.
- OpenAI: Known for its generative AI capabilities, OpenAI is a key player in the AI landscape. The partnership with SoftBank enhances its ability to scale AI models and infrastructure, positioning it as a leader in the quest for artificial general intelligence (AGI).

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- **Competitive Landscape:** The AI market is characterized by intense competition among major players such as Google (GOOGL), Microsoft (MSFT), and Amazon (AMZN), all of whom are investing heavily in AI technologies. The race for AI supremacy is driving innovation and acquisitions of startups with unique AI capabilities.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications. The strategic investment by SoftBank in OpenAI exemplifies the trend of large firms seeking partnerships to bolster their AI portfolios.

Wearable Technology

- **Trend Explanation:** Wearable technology is rapidly evolving, particularly in the realm of health and fitness tracking, smart glasses, and neural interaction devices. The global wearable technology market is expected to grow from \$116.2 billion in 2021 to \$265.4 billion by 2026, at a CAGR of 18.1%. Innovations in neural interaction are set to redefine user experiences.
- **Key Companies:**
- **Wearable Devices Ltd. (WLDS):** This company specializes in AI-powered touchless sensing wearable devices. Their Mudra Link neural band is designed to enhance interaction with smart glasses and screens, positioning them at the forefront of the wearable technology market.
- **Competitive Landscape:** The wearable technology space is competitive, with significant players including Apple (AAPL) and Fitbit (part of Google). Innovations in neural input technology are creating new opportunities for differentiation.
- **M&A Opportunities:** As the wearable technology market expands, companies may look to acquire firms specializing in innovative interaction technologies. Wearable Devices' advancements in neural interaction could attract interest from larger tech firms seeking to enhance their product offerings.

Digital Financial Infrastructure

- **Trend Explanation:** Digital financial infrastructure is critical for enabling seamless transactions and financial services across regions. The global digital payments market is projected to grow from \$4.1 trillion in 2020 to \$10.1 trillion by 2026, at a CAGR of 16.5%. Companies are increasingly investing in digital platforms to enhance financial accessibility.
- **Key Companies:**
- **VoPay:** Recently established its global headquarters in Qatar to advance digital financial infrastructure across MENA, Africa, and Southeast Asia. VoPay focuses on simplifying payment processes and enhancing financial connectivity in emerging markets.
- **Competitive Landscape:** The digital financial infrastructure market is competitive, with players like PayPal (PYPL) and Square (SQ) leading the charge. The focus on emerging markets presents unique opportunities for growth and expansion.
- **M&A Opportunities:** Financial technology firms may pursue acquisitions to enhance their digital infrastructure capabilities. VoPay's expansion efforts could attract interest from larger financial institutions looking to penetrate new markets.

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Actionable Insights for Bankers and Investors

Focus on identifying startups within the AI and wearable technology sectors that are developing innovative solutions, as these could be prime acquisition targets for larger firms.

Monitor the digital financial infrastructure space for emerging players like VoPay, which may present strategic partnership or investment opportunities in rapidly growing markets.

Encourage clients to consider the competitive landscape when evaluating potential M&A opportunities, particularly in sectors experiencing rapid technological advancements.

6. Recommended Readings

Deal Name: Solaris Acquisition of Majority Stake by SBI

- Reading Material: "Embedded Finance: The Future of Financial Services" by Chris Skinner
- Why This Matters: This book explores the concept of embedded finance and its implications for businesses and consumers. It provides a framework for understanding how Solaris's acquisition by SBI (SLS.TO) aims to leverage embedded finance to enhance customer experiences and operational efficiencies, contextualizing the strategic rationale behind the deal.

Deal Name: NVIDIA's New Robotics Technologies and Partnerships

- Reading Material: "AI and Robotics: The Future of Work" by John McCarthy
- Why This Matters: This reading delves into the intersection of artificial intelligence and robotics, highlighting the transformative potential of AI in various industries. It helps to understand NVIDIA's (NVDA) strategic initiatives in robotics and how their new AI models can drive innovation, positioning the company as a leader in the evolving robotics landscape.

7. MACROECONOMIC UPDATE

Key Data Points:

- ISM Manufacturing PMI: N/A (but noted as sluggish)
- Gasoline Prices: Near five-year lows
- Fed's Monetary Policy: Dovish stance expected to continue
- Economic Growth Outlook: Bullish for 2026

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Main Insights:

- A series of bullish catalysts are aligning, including deregulation and accommodative monetary policy.
- Current market sentiment is cautious, with light positioning in cyclical trades.
- The U.S. economy is viewed as transitioning from a rolling recession to a recovery phase.
- Key macro indicators are expected to bottom out in the second half of 2025, with a rebound anticipated in 2026.
- Energy prices, particularly gasoline, are providing economic relief for consumers.

Market Commentary:

- "The market is still underestimating the collective impact of these bullish catalysts." - Mike Wilson, Morgan Stanley
- "This doesn't look late-cycle to me--it looks early in what I have deemed to be a rolling recovery." - Mike Wilson, Morgan Stanley
- "The Fed has responded by ending quantitative tightening early and restarting asset purchases." - Mike Wilson, Morgan Stanley

TMT Sector Relevance:

- The bullish outlook for 2026 may lead to increased investments in technology sectors as economic conditions improve.
- Deregulation and supportive fiscal policies could enhance growth opportunities for TMT companies, particularly those in consumer technology and financial services.
- A recovering economy may drive demand for technology solutions that support operational efficiencies in various sectors, including AI and cloud computing.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley